

STOP LOSSES

Stop loss is used at the individual trade level, strategy level, or at the system level. Stop Loss is a tool where we pre-determine the level of maximum loss that we are willing to absorb and if losses exceed this level, all the active trades are squared off and the loss is restricted to this stop-loss amount. For instance, when going long on an asset at Rs. 100 and we are willing to absorb a maximum loss of 5%, i.e. the asset will be automatically sold off if the price hits Rs. 95. We do not want to incur any losses beyond this level.

We can have pre-determined stop losses for each trade that can be denoted in amount terms as well as percentage terms. We can also use custom stop losses for trades i.e. 24 days SMA as stop-loss or the use of previous high or low when using candlestick pattern or even use previous support or resistance when using trendlines. Determining stop losses is also an exit strategy decision.

